The notion of look-through earnings was originally devised for Berkshire's shareholders, but it also represents an important lesson for focus investors who seek a way to understand the value of their portfolio when, as will happen from time to time, share prices disengage from underlying economics. "The goal of each investor," says Buffett, "should be to create a portfolio (in effect, a company), that will deliver him or her the highest possible look-through earnings a decade or so from now."[53]

According to Buffett, since 1965 (the year Buffett took control of Berkshire Hathaway), the company's look-through earnings have grown at almost the identical rate of the market value of its securities. However, the two have not always moved in lockstep. On many occasions, earnings moved ahead of prices; at other times, prices moved far ahead of earnings. What is important to remember is that the relationship works over time. "An approach of this kind," counsels Buffett, "will force the investor to think about long-term business prospects rather than short-term market prospects, a perspective that will likely improve results."[54]

When Buffett considers adding an investment, he first looks at what he already owns to see whether the new purchase is any better. What Berkshire owns today is an economic measuring stick used to compare possible acquisitions. "What Buffett is saying is something very useful to practically any investor," Charlie Munger stresses. "For an ordinary individual, the best thing you already have should be your measuring stick." What happens next is one of the most critical but widely overlooked secrets to increasing the value of a portfolio. "If the new thing you are considering purchasing is not better than what you already know is available," says Charlie, "then it hasn't met your threshold. This screens out 99 percent of what you see."[55]

You already have at your disposal, with what you now own, an economic benchmark—a measuring stick. You can define your own personal economic benchmark in several different ways: look-through earnings, return on equity, or margin of safety, for example. When you buy or sell stock of a company in your portfolio, you have either raised or lowered your economic benchmark. The job of a portfolio manager who is a long-term owner of securities, and who believes future stock prices eventually will match with underlying economics, is to find ways to raise your benchmark.